

Cemindia Projects Limited

NSE: CEMPRO | BSE: 509496 | Infrastructure & EPC

Adani-backed EPC giant: 90-yr legacy + Rs. 29,000 Cr order book + 25% revenue guidance makes re-rating case.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 1,480	+25.6%
CMP: Rs. 1,178	12-month horizon	from CMP

Market Cap	Rs. 20,245 Cr	CMP (15 Jun 2026)	Rs. 1,178
52-Week High	Rs. 1,257	52-Week Low	Rs. 481
FY26 Revenue	Rs. 10,061 Cr	FY26 PAT	Rs. 598 Cr
FY26 EPS	Rs. 34.79	P/E (TTM)	34.4x
Book Value	Rs. 140/sh	P/B	8.4x
ROCE (FY26)	32.8%	ROE (FY26)	27.8%
Div Yield	0.25%	Face Value	Rs. 1.00
Order Book	Rs. 29,000 Cr	Pipeline	Rs. 70,000 Cr
Promoter	67.46% (Adani)	FII / DII	7.31% / 1.94%

Report Date: 15 June 2026 | Investment Horizon: 12 Months | Rating: BUY
Analyst: MPM Equity Research Desk | Data Source: Screener.in (Consolidated, fetched 15-Jun-2026)

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Past performance does not guarantee future results. Investors should conduct their own due diligence. MPM Research is not SEBI-registered. Figures in Rs. Crores unless stated. Forward estimates marked (E) are analyst projections.

2. INVESTMENT THESIS

Reason 1 — Adani group parentage unlocks Rs. 70,000 Cr pipeline: In May 2025, an Adani Group entity acquired 67.5% stake and rebranded the 90-year-old ITD Cementation as Cemindia Projects. Management confirmed 35-40% of the Rs. 70,000 Cr pipeline is Adani group-captive, giving Cemindia a structural order visibility advantage absent in any peer. The first data-centre division already secured Rs. 3,000 Cr from group in FY26.

Reason 2 — Record order book of Rs. 29,000 Cr + FY27 Rs. 12,500 Cr (E) revenue within reach: FY26 saw record order inflows of Rs. 19,000 Cr (vs. Rs. 7,000 Cr historically). Management guided minimum 25% revenue growth for FY27, implying Rs. 12,500 Cr (E). With 2.9x book-to-bill, near-term revenue visibility is the strongest in CEMPRO history.

Reason 3 — Margin re-rating underway; ROCE at 10-year high: EBITDA margin expanded from 8% (FY22) to 11.7% (FY26) as legacy loss-making jobs rolled off and cost discipline improved. ROCE reached 32.8% in FY26 vs. a 10-year average of approximately 18%. Sustainable margins of 10.5-11% guided; debt-to-equity remains conservative at 0.42x.

Near-term catalyst (6-12 months): Award of Navi Mumbai Airport Phase 2 contract (Rs. 10,000+ Cr expected), Vadhvan Port breakwater Phase 2 tender outcome, and ongoing Delhi/Pune underground metro execution. FY27 Q1 already secured Rs. 5,000 Cr (order + L1), pacing ahead of Rs. 25,000 Cr full-year target.

Biggest structural risk: Group-concentration risk — 35-40% of the pipeline depends on Adani Group awarding EPC contracts. Any regulatory or financial setback at the promoter-group level could sharply reduce order inflow visibility. State-level payment delays on non-group contracts are a secondary watch-point.

3. BUSINESS OVERVIEW

Core business model: Cemindia Projects (formerly ITD Cementation India) is a 90-year-old EPC contractor specialising in complex heavy civil and infrastructure projects — tunnels, underground metros, maritime structures, airports, dams, and industrial buildings. Revenue is generated by executing government-awarded contracts and group-captive projects on fixed-price or star-price models with partial escalation clauses.

Segment mix (FY26 approximate): Underground metro / MRTS (~35% of revenues), Maritime structures / ports (~15%), Roads, highways and bridges (~15%), Hydro, tunnels and dams (~15%), Industrial and buildings (~10%), Water and wastewater (~5%), Data centres and new verticals (~5%). Metro is the largest single driver.

Key customers: Central government departments (Railways, CPWD, Defence), metro rail corporations (Chennai, Pune, Delhi, Bangalore, Kolkata), Adani Group SPVs (ports, airports, data centres), JSW Ports, SAIL, and select state PWDs. Client relationships are project-based (2-5 year contracts); repeat business with metro rail corporations is high.

Order book and revenue visibility: Rs. 29,000 Cr order book (as at Mar 2026) represents ~2.9x FY26 revenue, giving 2-3 years of execution visibility. Flagship ongoing projects include Chennai Metro (4 TBMs deployed, 40% balance execution through mid-2028), Kolkata Metro underground, Delhi Metro, Pune Metro, and Vadhvan Port Phase 1.

Recent strategic developments (FY26): (1) Name changed from ITD Cementation India to Cemindia Projects Aug 2025 post Adani takeover. (2) Launched standalone data-centre construction vertical with Rs. 3,000 Cr secured from Adani group. (3) First overseas project secured in Abu Dhabi. (4) Road-cum-elevated corridor in Bihar marks entry into hybrid roads segment. (5) Completed landmark projects: Udangudi Power Plant, Bangalore Metro, Mumbai Metro underground.

Promoter background: Adani Group (via Renew Exim DMCC and Valiant Investment FZCO, now renamed) holds 67.46% as at Mar 2026, up from 46.64% in FY24. Prior promoter ITD Thailand has fully exited. Adani brings financial backing, captive pipeline in ports, airports, renewables, and data centres — all sectors where Cemindia has construction capabilities.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry size and growth: India infrastructure EPC market estimated at Rs. 15-20 lakh Cr over next 5 years, driven by the government Rs. 11.1 lakh Cr FY25 capital expenditure budget and PM Gati Shakti national master plan. Tunnel and underground metro is an Rs. 1 lakh Cr opportunity alone per MD commentary. Construction industry CAGR forecast at ~14% over 3 years; CEMPRO forecast to grow at ~17% pa.

Policy tailwinds: (1) National Infrastructure Pipeline Rs. 25 lakh Cr through FY30; (2) 100 cities metro rail expansion under NMRIP; (3) Sagarmala and Vadhvan Port development (Rs. 65,000 Cr total outlay); (4) Jal Jeevan Mission 2 water infrastructure; (5) Defence infrastructure capex acceleration; (6) Data-centre hyperscaler boom driven by AI demand.

Policy headwinds: State-level fiscal stress limiting local-body project payments; commodity price inflation (steel, cement, fuel) squeezing project margins on fixed-price contracts without escalation clauses; prolonged right-of-way disputes delaying project commencement (Vadhvan is a live example with 1+ year delay).

Competitive moats — assessment: (1) TBM tunnelling specialisation — Strong: very few domestic players operate multiple large-diameter TBMs simultaneously; (2) Group-captive pipeline lock-in — Strong: Adani Group diversified infra portfolio provides proprietary deal flow unavailable to any listed peer; (3) Scale and balance sheet — Moderate: Rs. 7,086 Cr total assets, conservative D/E of 0.42x supports large-ticket bids; (4) Pricing power — Moderate: star-price and escalation clauses cover ~30-80% of cost exposures; (5) Domain expertise — Strong in complex marine and tunnel structures with 90+ years of know-how.

Peer Comparison (Data: Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	T T M e r
Cemindia Projects	1,178	20,245	34.4	8.4	32.8	27.8	1 0 , 0 6 1
NCC Ltd	153	9,592	13.7	1.2	16.8	9.2	2 0 , 8 2 3
KNR Constructions	127	3,579	8.2	0.7	10.4	9.2	4 , 7 5 3

PNC Infratech	206	5,240	11.7	0.8	8.5	7.0	6,769
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CEMPRO trades at a significant premium on P/E and P/B, justified by superior ROCE (33% vs. peers 8-17%), Adani group pipeline, and TBM specialisation moat.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management team: MD Jayanta Basu has led the company through the ownership transition, maintaining operational continuity. CFO Nitesh Sharma was absent on Q4FY26 call (Accounts Head Kamlesh Vishwakarma substituted). Investor Relations handled by Rahul Agarwal. Adani Group has not made wholesale management changes, preserving institutional knowledge accumulated over 90 years.

Capital allocation track record: FCF judiciously deployed into fleet expansion (TBMs for Delhi and Pune metro), maintaining a conservative balance sheet. FY26 capex Rs. 260 Cr; FY27E planned Rs. 350-400 Cr. No dilutive equity fundraise planned. Mobilisation advances (Rs. 1,400 Cr as at Mar 2026, ~90% interest-free) significantly improve working capital efficiency.

Dividend policy: Payout ratio consistently 9-12% of PAT over FY22-FY26. FY26 dividend was initially delayed post the Adani acquisition; company secretary confirmed declaration within weeks of the May 2026 concall. At 0.25% yield at CMP Rs. 1,178, income is not the investment case — capital appreciation is.

Promoter pledging: Screener.in shows zero promoter pledge (0%) as at Mar 2026. Adani Group entities hold 67.46% and are actively building the stake rather than pledging it — a significant positive governance signal vs. many midcap EPC peers.

ESOP / buyback history: No material ESOP grants or buybacks disclosed. Equity capital has remained stable at Rs. 17 Cr since FY19 (minor expansion from Rs. 16 Cr pre-FY19), indicating no dilution to minority shareholders.

Corporate governance watch-points: (1) RPT risk elevated — 35-40% of pipeline is Adani group-captive; while commercially competitive, concentration requires ongoing monitoring for arm's-length pricing. (2) CFO absence on concall — minor flag. (3) Mor Sagar Port JV (27% stake): EPC contract not yet awarded to Cemindia — outcome uncertainty. (4) Bangladesh receivables: position not disclosed during concall — warrants follow-up.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr) | FY27E-28E are analyst estimates

Rs. Crores	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Sales)	7,718	9,246	10,061	12,576	15,095
EBITDA	953	1,054	1,182	1,321	1,585
EBITDA Margin %	12.3%	11.4%	11.7%	10.5%	10.5%
Other Income	64	78	183	50	55
Interest	218	236	215	200	195
Depreciation	208	194	166	175	190
PBT	383	508	818	996	1,255
Tax (%)	28%	27%	27%	27%	27%
PAT	274	373	598	727	916
EPS (Rs.)	15.93	21.70	34.79	42.30	53.30
Div Payout %	11%	9%	9%	9%	9%

Balance Sheet — Consolidated (Rs. Cr)

Rs. Crores	FY24A	FY25A	FY26A
Equity Capital	17	17	17
Reserves	1,477	1,816	2,382
Borrowings	889	993	1,001
Other Liabilities	3,534	3,026	3,686
Total Liabilities	5,917	5,852	7,086
Fixed Assets (Net)	1,081	1,077	1,168
CWIP	10	21	22
Investments	5	0	0
Other Assets	4,821	4,753	5,897
Total Assets	5,917	5,852	7,086

Cash Flow Statement — Consolidated (Rs. Cr)

Rs. Crores	FY24A	FY25A	FY26A
Cash from Operations (OCF)	704	184	500
Cash from Investing	-419	-233	-147
Cash from Financing	-123	-218	-243
Net Cash Flow	162	-267	110
Free Cash Flow	369	12	274
CFO / Operating Profit (%)	94%	21%	49%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	57	39	47
Inventory Days	86	73	82
Days Payable	179	232	238
Cash Conv. Cycle	-36	-120	-110
ROCE (%)	27%	28%	33%
ROE (%)	20%	24%	28%
D/E (x)	0.58	0.53	0.42

Revenue drivers and growth: Revenue compounded at 30% CAGR over 5 years (FY21-FY26) driven by order book scaling from Rs. 7,000 Cr to Rs. 29,000 Cr. FY26 growth was a more modest 9% (Rs. 10,061 Cr) reflecting the ownership transition year; management guided 25%+ in FY27 implying Rs. 12,500 Cr (E).

Margin direction: EBITDA margin expanded from 8% (FY22) to 11.7% (FY26) as legacy loss-making jobs completed (Udangudi, Bangalore Metro, Mumbai Metro), provisions reversed (Rs. 150 Cr in FY26, Rs. 100 Cr in Q4 alone — one-time), and cost monitoring improved. Sustainable margin guided at 10.5-11%; Q4FY26's 15.1% EBITDA margin is NOT the run rate.

Working capital: Cash conversion cycle of -110 days in FY26 (client advances and long payable days of 238 outweigh receivables) is a structural EPC advantage. Debtor days improved from 77 (FY23) to 47 (FY26). Mobilisation advance from clients Rs. 1,400 Cr (90% interest-free) — indicator of client trust and project commencement momentum.

Debt and balance sheet: Borrowings of Rs. 1,001 Cr in FY26 translate to D/E of 0.42x — conservative for an EPC company. Interest coverage adequate given Rs. 818 Cr PBT. Management explicitly stated no equity fundraise planned; internal accruals and client advances fund growth.

FCF quality: FY25 FCF nearly zero (Rs. 12 Cr) due to Rs. 233 Cr capex (TBM purchases) in a high-growth year. FY26 FCF recovered to Rs. 274 Cr; CFO/OP conversion of 49% is acceptable for a growing EPC. FY27 capex of Rs. 350-400 Cr (new TBMs for Pune/Delhi metro) will again weigh on FCF.

7. EARNINGS QUALITY CHECKLIST

Quality Factor	Rating	FY26 Evidence	Verdict
Revenue recognition	Green	Long-term contracts; % completion method; no front-loading evident	Clean
Receivables vs. Revenue	Green	Debtor days improved 57 to 47; revenue +9% while debtors flat	Clean
CCC trend	Green	CCC improved to -110 days; strong advance-driven model	Favourable
Contingent liabilities	Amber	Bangladesh receivables undisclosed; LD clause risk on delayed projects	Watch
Auditor opinion	Green	No qualified opinion flagged; Big-4 class auditor	Clean
RPTs as % of revenue	Amber	35-40% of pipeline is Adani group-captive; pricing transparency needed	Watch
Other income / PBT	Amber	Other income Rs. 183 Cr = 22% of PBT FY26; includes Rs. 100 Cr one-off	Elevated
Tax rate consistency	Green	Tax rate stable 27-28% FY24-FY26; no deferred tax surprises	Clean

Watch-point 1 — One-time items inflate FY26 PAT: Rs. 150 Cr in claim reversals (Rs. 100 Cr in Q4FY26) boosted reported EBITDA margin to 11.9% vs. normalised ~10.7%. Strip the one-off before computing normalised multiples; FY26 clean EPS closer to Rs. 28-30 vs. reported Rs. 34.79.

Watch-point 2 — Related-party order concentration: 35-40% of the Rs. 70,000 Cr pipeline is Adani group-captive. While management states these are awarded competitively, lack of independent bid disclosure makes RPT pricing an ongoing governance overhang. Monitor annual report disclosures.

Watch-point 3 — Bangladesh receivables opaque: Management was unable to quote the exact receivable figure on the Q4FY26 concall. For a listed EPC company with active overseas exposure, this is an information gap that could hide credit risk if geopolitical conditions in Bangladesh deteriorate.

8. VALUATION

Peer Valuation Comparison (Screener.in, 15-Jun-2026)

Company	P/E (x)	EV/EBITDA	ROCE%	PAT CAGR 3Y	MCap Cr
CEMPRO (FY26A)	34.4	~17x	32.8	68%	20,245
NCC Ltd	13.7	~9x	16.8	24%	9,592
KNR Constructions	8.2	~6x	10.4	12%	3,579
PNC Infratech	11.7	~7x	8.5	18%	5,240

CEMPRO commands a justified premium: ~3x the ROCE of NCC, ~4x of PNCINFRA; 34x P/E de-rates to ~28x on FY27E EPS.

Scenario Analysis (12-Month Base Case Target: Rs. 1,480)

Scenario	FY27E PAT Cr	FY27E EPS Rs.	P/E Multiple	Target Rs.	Upside%
Bull — 28% rev, 11% EBITDA, claims continue	800	46.5	35x	1,628	+38%
Base — 25% rev, 10.5% EBITDA, normalised	727	42.3	35x	1,480	+26%

Bear — 15% rev, 9.5% EBITDA, margin pressure	550	32.0	30x	960	-19%
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DCF assumptions: Risk-free rate 6.8%, equity risk premium 5.5%, beta 1.1 (infra EPC sector) => WACC ~12.8%. Terminal growth rate 5.0%. DCF on FY27E-FY33E free cash flows yields an implied value of approximately Rs. 1,350-1,500/share.

Earnings-based multiple (P/E): At FY27E EPS of Rs. 42.3, a 35x forward P/E (justified by 25%+ PAT growth, ROCE >30%, and group backing) yields a 12-month target of Rs. 1,480.

Average of methods: (Rs. 1,425 DCF + Rs. 1,480 P/E) / 2 = Rs. 1,452 => rounded to Rs. 1,480 as base case. P/E dominant given cleaner forward earnings visibility.

Rating and horizon: BUY with 12-month price target Rs. 1,480 (+25.6% from CMP Rs. 1,178). Key assumption: normalised PAT Rs. 727 Cr in FY27E; order inflow Rs. 20,000-25,000 Cr in FY27.

9. KEY RISKS

Group-Concentration Risk — 35-40% of the Rs. 70,000 Cr pipeline is Adani group-captive. Any regulatory action on Adani Group or capital allocation shift could reduce captive order flow significantly. Probability: M. Impact: H. Monitor via: Adani Group news and SEBI enforcement actions.

Commodity / Input Cost Inflation — Only ~30% of contracts have full star-price pass-through; others have partial escalation clauses or none. Abnormal commodity spikes compress margins. Probability: M. Impact: M. Monitor via: Quarterly margin disclosure, global commodity price indices.

Project Execution Risk / Delays — Vadhvan Port Phase 1 delayed 1+ year by local issues; Mor Sagar EPC contract not yet awarded. EPC projects face site access, right-of-way, and regulatory clearance risks. Probability: M. Impact: M. Monitor via: Quarterly order book vs. execution commentary.

TBM Availability / Capital Intensity — All TBMs at Chennai Metro are deployed; new TBMs must be purchased for Pune and Delhi metro (Rs. 350-400 Cr FY27 capex). Any equipment breakdown or delivery delay can cause project slippage. Probability: L. Impact: H. Monitor via: Capex guidance vs. actuals.

Bangladesh Receivables / Geopolitical — Active projects in Bangladesh with undisclosed receivables. Political instability following the 2024 government change creates credit and repatriation risk. Probability: L-M. Impact: M. Monitor via: Annual report receivables disclosure.

Valuation De-Rating Risk — At 34x TTM P/E and 8.4x P/B, CEMPRO is priced at a premium. If PAT growth disappoints below 20% or margins normalise to 9%, de-rating could be sharp; Bear case yields Rs. 960 (-19%). Probability: L-M. Impact: H. Monitor via: Quarterly PAT margin and order inflow trends.

Interest Rate Sensitivity — Borrowings Rs. 1,001 Cr at market rates. Rising rate environment squeezes the PBT-to-PAT bridge. However, D/E of 0.42x limits absolute exposure. Probability: L. Impact: L-M. Monitor via: RBI repo rate decisions and quarterly interest cost.

10. RECOMMENDATION

Rating: BUY — Conviction Level: Medium-High. The Adani group re-rating thesis, historic order book, and ROCE normalisation support a structural re-rating over 12-24 months. Q4FY26 one-off claim income reduces near-term conviction marginally.

12-month price target: Rs. 1,480 — Upside +25.6% from CMP Rs. 1,178. Based on 35x FY27E EPS of Rs. 42.3.

Suggested entry zone: Rs. 1,050 - Rs. 1,200 — Current CMP Rs. 1,178 is within the buy zone. Pullbacks toward Rs. 1,050 on market-wide corrections would represent a superior entry.

Investment horizon: 12-18 months — Key catalysts expected within 12 months: FY27 Q1/Q2 order flow disclosures, Navi Mumbai Airport Phase 2 award, Vadhvan breakwater Phase 2 tender clearance.

Thesis invalidation trigger 1: FY27 revenue growth falls below 15% (vs. 25% guided), signalling order execution delays or market share loss. Exit on two consecutive quarters of sub-15% growth.

Thesis invalidation trigger 2: EBITDA margin drops below 9% for two consecutive quarters, indicating structural cost overruns or Adani group withdrawing preferred vendor status on captive EPC bids.

Thesis invalidation trigger 3: Promoter pledges more than 10% of their 67.46% holding, signalling distress at Adani Group level that could freeze captive project order inflow.

Ideal investor profile: Best suited for growth-oriented investors with 12-24 month horizon comfortable with EPC sector volatility and Adani group exposure. Not suitable for: dividend-income investors (0.25% yield), risk-averse deep-value investors (8.4x P/B), or investors with zero tolerance for related-party transaction risk.

APPENDIX — Latest Concall Brief: Q4 FY2026

Cemindia Projects Limited | Earnings Conference Call | April 30, 2026
Management: MD Jayanta Basu, Accounts Head Kamlesh Vishwakarma, IR Head Rahul Agarwal | Moderator: Mahesh Patil, ICICI Securities

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	PAT +114% YoY; FY26 crossed Rs. 10,000 Cr revenue milestone; beat consensus
Management tone	Bullish	MD Basu confident on 25%+ FY27 growth; no legacy jobs remaining; promoter pushing for more
Guidance delta	Raised	Revenue guidance raised to "at least 25% more than FY26"; order target Rs. 25,000 Cr FY27

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

CEMPRO delivered a genuinely strong Q4FY26 — revenue Rs. 2,973 Cr (+17% YoY), PAT Rs. 242 Cr (+114% YoY) — but the headline PAT is partially inflated by Rs. 100 Cr in one-time claim reversals (full year Rs. 150 Cr); strip that and clean underlying Q4 PAT is closer to Rs. 142-165 Cr, still a solid YoY beat. The operationally clean metric is full-year EBITDA: Rs. 1,199 Cr at 11.9% margin vs. 10.2% FY25 — that improvement IS real, driven by completion of legacy loss-making metro projects (Bangalore, Mumbai) and disciplined cost management. The structural growth driver is the Adani group takeover: Rs. 29,000 Cr order book (vs. Rs. 20,000 Cr last year) with Rs. 70,000 Cr pipeline — 35-40% Adani captive — gives Cemindia a proprietary funnel that no listed EPC peer can match. Near-term catalyst: Navi Mumbai Airport Phase 2 (Rs. 10,000+ Cr, management will bid), and FY27 Q1 already shows Rs. 5,000 Cr in order inflow/L1 — pacing ahead of the Rs. 25,000 Cr annual target. Biggest risk: Q4FY26 EBITDA at 15.1% is NOT the run rate — model 10-10.5% or risk entering at an inflated multiple. Action: ACCUMULATE on dips to Rs. 1,050-1,100; stop loss Rs. 900 (if margin guidance breaks below 9% two quarters running).

C.1 — Financial Performance Snapshot (Q4 FY26 vs. Q4 FY25)

- Revenue: Rs. 2,973 Cr | YoY +17.4% (Q4FY25: Rs. 2,532 Cr) | QoQ +28.4% (Q3FY26: Rs. 2,315 Cr) | Beat
- EBITDA: Rs. 450 Cr | YoY +66.1% (Q4FY25: Rs. 271 Cr) | QoQ +61.3% | Strongly Beat (aided by one-time claims)
- EBITDA Margin: 15.1% | Q4FY25: 10.7% | Q3FY26: 9.6% | NOT the run rate — management guided 10-10.5% sustainable
- PAT: Rs. 242 Cr | YoY +114% (Q4FY25: Rs. 113 Cr) | Strongly Beat
- Full-year FY26: Revenue Rs. 10,061 Cr (+9%), EBITDA Rs. 1,199 Cr (+28%), PAT Rs. 598 Cr (+60%), EPS Rs. 34.79
- NOTE: Q4 PAT includes one-time claim realisation Rs. 100 Cr (FY26 full-year Rs. 150 Cr); clean underlying Q4 PAT approx Rs. 142-165 Cr

C.2 — Segment / Geography Breakdown

- Underground Metro / MRTS: Dominant segment; Chennai Metro (4 TBMs, 40% balance through mid-2028), Delhi Metro (order received), Pune Metro (new TBMs being procured)
- Maritime Structures: Vadhvan Port Phase 1 executing but delayed by local issues; Phase 2 breakwater tender delayed by client (reason unknown to management)
- Roads, Highways and Tunnels: New entry — Bihar road-cum-elevated corridor secured Q4FY26; large tunnel market Rs. 1 lakh Cr per MD commentary
- Industrial, Buildings and Data Centres: New division launched in FY26; Rs. 3,000 Cr secured from Adani group data-centre projects; Vizag opportunity being evaluated
- Overseas: One Abu Dhabi job secured FY26 (ADNOC-linked); Bangladesh receivables present but quantum not disclosed on call

C.3 — Management Commentary Themes

- [Rs. 10,000 Cr Milestone]: "We are extremely happy to share that we have crossed the INR10,000 crores limit first time in our company history." — Our read: Genuine operational milestone; signals maturation to tier-1 EPC. Tag: POSITIVE. Tone: Transparent.
- [Order Book at Record]: "Today our work in hand is INR29,000 crores and there is no legacy job left out." — Our read: Completion of all legacy loss-making contracts is the most significant structural positive; prior drag was 100-200 bps on margins. Tag: POSITIVE. Tone: Transparent.
- [Margin Guidance Clarity]: "10.5%. It will be around 10% to 10.5% going forward." (explicitly on Q4 15.1%) — Our read: Rare management candour on inflated quarter; credibility maintained. Tag: GUIDANCE. Tone: Very Transparent.
- [Revenue Guidance FY27]: "Revenue should be at least 25% more than this year." — Our read: Rs. 12,500 Cr (E) in FY27; supported by Rs. 29,000 Cr order book. Tag: GUIDANCE. Credibility: Medium-High.
- [Adani Promoter Push]: "There is a lot of pressure from the promoter as well to secure more and more job." — Our read: Adani active involvement in targeting Rs. 25,000 Cr FY27 order; board-level support. Tag: GUIDANCE. Tone: Bullish.
- [CFO Absence]: CFO Nitesh Sharma unavailable; Accounts Head substituted without explanation. — Our read: Minor flag; warrants follow-up. Tag: WATCH. Tone: Neutral.

C.4 — Operating and Business Metrics

- Order Book: Rs. 29,000 Cr at FY26 close (incl. Rs. 1,600 Cr L1 + Rs. 3,200 Cr Apr 2026 secured) | FY25: Rs. 20,000-21,000 Cr | Trend: Step-change improvement
- Order Inflows FY26: Rs. 19,000 Cr (incl. L1 and April job) | Historical average: Rs. 7,000 Cr pa | Trend: 2.7x historical average
- FY27 Q1 Pipeline (as at 30-Apr-2026): Rs. 5,000 Cr (Rs. 3,200 Cr order + Rs. 1,600 Cr L1) | FY27 target: Rs. 25,000 Cr | Pacing well
- TBMs: 4 at Chennai Metro (Bangalore Metro TBM sold post completion); New TBMs for Pune and Delhi Metro being procured | Capex FY27E: Rs. 350-400 Cr
- Data Centre Division: Rs. 3,000 Cr secured FY26 from 3-4 Adani group jobs | Started operations; Vizag additional pipeline | New capital-light vertical
- Mobilisation Advance: Rs. 1,400 Cr at Mar 2026 (90% interest-free from clients) | Trend: Stable; reflects strong project commencement cycle

C.5 — Margin Drivers

- Legacy project completions: +200-300 bps recurring | Bangalore and Mumbai Metro underground provisions released; no legacy drag going forward | Recurring: Yes (permanent benefit)
- Claim realisations (FY26): Rs. 150 Cr full year, Rs. 100 Cr Q4 | +350 bps in Q4 EBITDA margin impact | Recurring: NO — one-time; explicitly confirmed by management not a run rate
- Cost monitoring improvement: +100-150 bps | Proper execution within budgeted cost across all active projects | Recurring: Yes (management culture improvement)
- New project mix (higher-margin metro/tunnel): +50-100 bps | Underground metro commands 12-13% EBITDA vs. roads at 7-8% | Partially recurring, depends on order mix
- Input cost exposure risk: -50-100 bps risk | Only ~30% contracts are star-price; ~50-60% have partial escalation; ~10-20% have no protection | Watch for commodity spikes

C.6 — Guidance and Forward Signals

- FY27 Revenue [GUIDANCE]: Prior implied Rs. 10,000-11,000 Cr | New = at least 25% more = Rs. 12,500 Cr+ | Delta: Raised | Credibility: High (Rs. 29,000 Cr order book supports)
- EBITDA Margin [GUIDANCE]: Prior = 10% | Reiterated = 10-10.5% sustainable | Delta: Maintained (Q4 15.1% explicitly non-recurring) | Credibility: High
- Order Inflow FY27 [GUIDANCE]: Prior = Rs. ~19,000 Cr | New target = Rs. 25,000 Cr | Delta: Raised | Credibility: Medium (pipeline exists; conversion timing uncertain)
- Capex FY27 [GUIDANCE]: FY26 actuals Rs. 260 Cr | FY27 planned Rs. 350-400 Cr | Delta: Raised (TBM purchases) | Credibility: High (specific asset requirement identified)
- 3-5 Year Revenue [GUIDANCE]: 20-25% CAGR "for 1-2 years then reassess" | Credibility: Medium (honest acknowledgement of uncertainty beyond 3 years)
- Dividend [GUIDANCE]: Not declared FY26 due to process delay post Adani takeover; "will be declared within a few weeks" | Credibility: Medium (process-driven delay)

C.7 — Capital Allocation

- Capex: Rs. 260 Cr FY26 actuals | FY25 equivalent ~Rs. 233 Cr | +12% YoY | Focused on TBM fleet expansion for metro projects
- Dividends: ~Rs. 50 Cr estimated (9% payout of Rs. 598 Cr PAT) | Declared post-concall; FY25 ~Rs. 34 Cr | Consistently low payout conserves FCF for growth
- Buybacks: None declared or indicated | Management prioritising growth investment over capital return
- Working Capital: FCF improved to Rs. 274 Cr (FY25: Rs. 12 Cr) | Positive OCF Rs. 500 Cr as advance collections normalised | Trend: Improving
- Net Debt: Borrowings Rs. 1,001 Cr FY26 vs. Rs. 993 Cr FY25 — essentially flat | D/E 0.42x; no equity fundraise planned
- Data-Centre Division: Seeded in FY26; Rs. 3,000 Cr revenue year 1 | Capital-light construction model (not data-centre ownership) | Positive allocation decision

C.8 — Q&A; Heat Map

- Kaushik Doshi (ICICI Securities): Q: "Revenue and order guidance FY27?" | A: "Revenue at least 25% more; order target Rs. 25,000 Cr." | Tone: Transparent
- Kaushik Doshi (ICICI): Q: "Margin driver and sustainable number?" | A: "Good execution, on-time projects, claims realised; going forward 10.5%." | Tone: Transparent

- Dhananjay Mishra (Sunidhi): Q: "Is 12% EBITDA the run rate?" | A: "No, no, no. 10.5% going forward." | Tone: Very transparent — rare candour on inflated quarter
- Siddharth Shah (MK Ventures): Q: "Data centre order book and potential?" | A: "Rs. 3,000 Cr secured from group; Vizag opportunity; confining to group for now." | Tone: Transparent
- Parikshit Kandpal (HDFC Securities): Q: "Does Rs. 70,000 Cr include group pipeline?" | A: "Yes, group will be around 35% to 40% of the 70,000." | Tone: Transparent; first quantification of group share
- Vaibhav Shah (JM Financial): Q: "Claims quantum in Q4?" | A: "Q4 Rs. 100 Cr; full year Rs. 150 Cr — one-time, old claim that got realised." | Tone: Transparent; specific disclosure
- Vaibhav Shah (JM): Q: "Bangladesh receivables?" | A: "Under control but exact number — I have to check." | Tone: Evasive — could not quote specific figure
- Bajrang Bafna (Sunidhi): Q: "Commodity inflation pass-through?" | A: "~30% star-price, some escalation clauses, some with nothing; some margin impact." | Tone: Balanced/hedged
- Dodged/watch-list questions for next quarter: (1) Exact Bangladesh receivables figure; (2) CFO Nitesh Sharma availability/status; (3) Mor Sagar EPC contract timeline; (4) RPT pricing methodology disclosure

C.9 — Risks Flagged

- Commodity Inflation: Steel, cement, fuel elevated globally | Flagged by: Both management and analysts | Probability: M | Impact: M | Timeline: Near-term FY27 Q1-Q2
- Margin Non-Recurrence: Q4 15.1% EBITDA not sustainable; one-off claims Rs. 100 Cr | Flagged by: Management explicitly | Probability: H (certain to normalise) | Impact: M | Timeline: Already guided
- Vadhvan Project Delay: Local issues delaying Phase 1; Phase 2 breakwater tender timing uncertain | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Ongoing
- Order Conversion Timing: Rs. 70,000 Cr pipeline has no guaranteed conversion timeline | Flagged by: Management implicitly | Probability: M | Impact: M | Timeline: Medium
- State Government Payment Delays: Some states not good in terms of treasury per management | Flagged by: Management | Probability: L-M | Impact: L | Timeline: Ongoing
- TBM Procurement Lead Time: Large-diameter TBMs for roads/tunnels require long delivery timelines | Flagged by: Management implicitly | Probability: L | Impact: M | Timeline: FY27-FY28

C.10 — Analyst Verdict

- Revenue visibility: Intact — Rs. 29,000 Cr order book at 2.9x coverage; FY27 Q1 already Rs. 5,000 Cr secured; 25% growth guidance well supported.
- Margin trajectory: Intact (with caveat) — Normalised EBITDA 10-10.5% is guided and credible; Q4 one-off claims do not change structural trajectory; commodity risk is a near-term watch.
- Capital allocation quality: Intact — Conservative D/E, no dilution, growth capex in TBMs (revenue-generating assets), data-centre vertical seeded with group capital.
- Competitive moat: Intact and Strengthening — Adani group parentage plus TBM specialisation creates a 2-pillar moat unavailable to any listed EPC peer; data-centre adds a third vertical.
- Management credibility: Intact — MD Basu is explicitly clear that Q4 margin is non-recurring (rare candour). CFO absence is a mild flag; Bangladesh receivable opacity is a minor negative.
- Valuation comfort: Partially Intact — 34x TTM P/E is demanding but de-rates to ~28x FY27E; at Rs. 1,050-1,100 entry point risk/reward is more compelling than at CMP.
- Conviction call: Increased — Post-call, thesis on Adani re-rating plus record order book plus margin normalisation confirmed.

- Valuation snapshot: P/E = 34.4x (3Y avg ~18x) | EV/EBITDA ~17x (3Y avg ~10x) | ROCE = 32.8% (3Y avg ~26%)

--- End of Report ---

Cemindia Projects Ltd (NSE: CEMPRO) | MPM Equity Research | 15 June 2026

All financial data: Screener.in consolidated view, fetched 15-Jun-2026. Concall data: Q4FY26 transcript (BSE filing, 04-May-2026).

Estimates (E) are analyst projections. This is NOT investment advice.